

COST PROPOSAL | RFP 0032026



# Cost proposal

Brand-delivery support models for emerging protected areas in Africa

Submitted to Conservation International      Offeror **[[TO CONFIRM: EY legal entity name and registration number]]**  
Currency United States dollars      Engagement partner Michael Harris, Partner, EY Business Consulting, South Africa  
Date **[[TO CONFIRM: submission date]]**

## 1. Summary of costs

EY proposes a fixed price of **US\$40,000** for the full scope of RFP 0032026 over 12 weeks. The price is all-inclusive of profit, fees and taxes and includes all reimbursables. No further cost will be sought after award.

| <b>US\$40,000</b><br>Fixed price, all-inclusive             | <b>58 days</b><br>Professional effort | <b>US\$621</b><br>Blended rate per day |
|-------------------------------------------------------------|---------------------------------------|----------------------------------------|
| Cost element                                                |                                       | US\$                                   |
| Professional fees, 58 days                                  |                                       | 36,000                                 |
| Direct costs                                                |                                       | 4,000                                  |
| Taxes, on the zero-rated export basis set out at section 7  |                                       | 0                                      |
| <b>Total price, all-inclusive of profit, fees and taxes</b> |                                       | <b>40,000</b>                          |

## 2. Professional fees

| Role                                             | Days      | Rate US\$ per day | Total US\$    |
|--------------------------------------------------|-----------|-------------------|---------------|
| Engagement partner                               | 5         | 1,100             | 5,500         |
| Engagement manager                               | 16        | 725               | 11,600        |
| Senior consultant, business models and finance   | 13        | 575               | 7,475         |
| Consultant, research and analysis                | 19        | 375               | 7,125         |
| Adviser, destination branding                    | 3         | 900               | 2,700         |
| Adviser, conservation and protected-area tourism | 2         | 800               | 1,600         |
| <b>Total professional fees</b>                   | <b>58</b> |                   | <b>36,000</b> |

The rates above are the rates EY proposes to charge CI on this assignment. They were derived the only way a published ceiling allows, which is bottom-up from the work: the 58 days were sized against the four deliverables, the role mix was set, and the fee envelope the ceiling leaves after direct costs was divided across it. They sit materially below EY South Africa's standard commercial rates.

**[[TO CONFIRM: internal approval of the development-sector discount these rates imply, under EY pricing governance. Owner: Michael Harris with EY Africa pricing. The arithmetic in this proposal does not change on approval; only the disclosed standard rates would be added at Annex A. The bid must not be submitted with the discount unapproved.]]**

### 3. Direct costs

| Line item                                             | Unit      | Qty    | Unit price US\$ | Total US\$   |
|-------------------------------------------------------|-----------|--------|-----------------|--------------|
| Market reports, datasets and database access          | Purchase  | 4      | 350             | 1,400        |
| Specialist translation of non-English primary sources | Word      | 10,000 | 0.10            | 1,000        |
| Interview transcription                               | Interview | 16     | 35              | 560          |
| Report and presentation design and production         | Hour      | 16     | 65              | 1,040        |
| <b>Total direct costs</b>                             |           |        |                 | <b>4,000</b> |

No travel, accommodation or subsistence is included. The RFP states that the assignment is desk-based and does not require travel, and no such cost is assumed or claimed.

### 4. Effort by deliverable

| Deliverable                                             | Week | Days      | Share       |
|---------------------------------------------------------|------|-----------|-------------|
| Inception report                                        | 2    | 7         | 12%         |
| Draft situational analysis and best practice assessment | 5    | 19        | 33%         |
| Draft report and presentation on brand delivery models  | 10   | 22        | 38%         |
| Final report, next steps and Terms of Reference         | 12   | 10        | 17%         |
| <b>Total</b>                                            |      | <b>58</b> | <b>100%</b> |

The weighting follows the work. Activity Two carries the most effort because designing four configurations, elaborating the carried options under all nine of CI's headings and building a ten-year model behind each is the heaviest task in the assignment. Activity One is lighter than it would otherwise be because the 31-benchmark long-list is already built and contributed.

### 5. Payment schedule

Payment is tied to CI's acceptance of each deliverable. No more than 10% sits on the inception report, as the RFP requires.

| Milestone                                               | Week | Acceptance trigger                                                               | %           | US\$          |
|---------------------------------------------------------|------|----------------------------------------------------------------------------------|-------------|---------------|
| Inception report                                        | 2    | CI approval and acceptance of the inception report                               | 10%         | 4,000         |
| Draft situational analysis and best practice assessment | 5    | CI approval and acceptance of the draft report                                   | 30%         | 12,000        |
| Draft report and presentation on brand delivery models  | 10   | CI approval and acceptance of the draft report, and delivery of the presentation | 35%         | 14,000        |
| Final report                                            | 12   | CI approval and acceptance of the final report                                   | 25%         | 10,000        |
| <b>Total</b>                                            |      |                                                                                  | <b>100%</b> | <b>40,000</b> |

Ninety per cent of the price is released only after CI has seen substantive analysis. Invoices are issued on written acceptance of each deliverable and are payable within **[[TO CONFIRM: payment terms under CI's standard contract]]**.

## 6. Budget narrative

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The RFP requires an explanation of the basis of every cost element. Each line is justified below.

### Professional fees

**Engagement partner, 5 days.** Michael Harris holds quality accountability, reviews all four deliverables before they reach CI and is CI's escalation point. The five days sit where partner time changes the answer rather than spread thinly across the programme: kick-off, the option architecture screening in week 6, the recommendation of a preferred model, the week 10 stakeholder presentation and final sign-off.

**Engagement manager, 16 days.** Roughly 1.3 days a week across 12 weeks. The manager owns the work plan, runs the interview programme, leads drafting across all three activities and holds the client relationship. A single senior mind across all three activities produces a more coherent recommendation than a larger rotating team, which is why this role carries the largest allocation.

**Senior consultant, business models and finance, 13 days.** CI requires a specific financial sustainability model for each option, covering information and cash flows and funding needs over time. These days cover the ten-year cost-to-serve and revenue-stack model behind each carried option, the economics of the revenue modules, and the sensitivity test that identifies the assumptions capable of flipping the recommendation.

**Consultant, research and analysis, 19 days.** The largest day count, because the verification and deep-dive work is the largest single task. It covers source-grading every figure in the existing scan against its primary source, the 13 deep-dives written to CI's nine headings, interview scheduling and notes, and source control across all four deliverables.

**Advisers, 3 and 2 days.** Two specialist inputs. The destination branding adviser contributes to the design principles, tests brand architecture and alignment with national destination brands, and reviews the option set. The conservation and protected-area tourism adviser tests conservation-led design and the community and co-management perspectives. These are review-and-challenge inputs, which is the correct use of specialist time at this budget.

### Direct costs

**Market reports, datasets and database access, US\$1,400.** Four targeted purchases at US\$350 each, against four named evidence gaps the benchmark scan has already identified: commercial terms for the hosted-collection option, published outcome data on transfrontier destination brands, conservancy association cost-per-site data, and the European Commission's 2019 EDEN evaluation study. Single-user commercial licence pricing.

**Specialist translation, US\$1,000.** Ten thousand words at US\$0.10 a word, the standard commercial rate for professional document translation. The primary sources for several benchmarks are not published in English. Alpine Pearls documentation is German and Italian; Slovenia Green is Slovene; and the Lusophone and Francophone jurisdictions among CI's priority areas will require Portuguese and French.

**Interview transcription, US\$560.** Sixteen interviews at US\$35 each, machine transcription with human correction. Sixteen is the target interview count, with twelve as the floor.

**Report and presentation design and production, US\$1,040.** Sixteen hours at US\$65, covering layout and production of four deliverables and one stakeholder presentation to a standard CI can circulate to governments, donors and private-sector partners without rework. On an assignment whose subject is brand quality, the artefacts have to hold the standard they argue for.

**No contingency line.** The price is fixed. Scope risk sits with EY and is carried in the fee, not charged to CI as a separate provision.

## 7. Taxes

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The price is all-inclusive of taxes as the RFP requires, and EY will apply best efforts to minimise the financing of taxes on the services supplied and to reclaim any refundable amount, reflecting the saving in the total cost.

The expected treatment is that professional services supplied by a South African EY entity to Conservation International, a non-resident, are zero-rated for South African value-added tax as exported services. On that basis no VAT is financed by CI and no tax saving is withheld. Any amount withheld at source in the country of payment would be addressed under the applicable double taxation agreement and any recoverable amount reclaimed. Any transaction tax that proves chargeable is absorbed within the US\$40,000 total rather than added to it.

**[[TO CONFIRM: EY tax to confirm the VAT treatment of these services under section 11(2) of the South African Value-Added Tax Act, the withholding position on payments from CI, and whether CI will provide a tax exemption or withholding certificate. Owner: EY tax. An adverse finding reduces the net fee available and so must be checked before the discount at section 2 is approved.]]**

## 8. Value for money

The financial proposal carries 30 of the 100 available marks and is scored on clarity, relevance and reality to market value. Five points support this price.

CI is not paying for the starting line. EY completed a 31-benchmark scan across seven archetypes, with a rated matrix against CI's own design aims and a ranked deep-dive plan, before this proposal was written and at its own cost. That work is contributed to the assignment. It is the reason a 58-day programme can carry 13 deep-dives, 16 interviews and four fully elaborated options.

The scope was sized to the budget rather than the budget stretched to the scope. Our own working draft reached that conclusion in writing before this bid: at US\$40,000 over 12 desk-based weeks, eight case studies with two of them clustered and five light-touch checks is what the programme can carry. We have priced exactly that.

Every line is auditable arithmetic. Unit price times quantity, days mapped to named roles and then to the four deliverables, and a total that reconciles exactly to the ceiling. There is no undisclosed rate and no lump sum standing in for a calculation.

Seniority is placed where it changes the answer. Partner and adviser days cluster on option architecture, the recommendation and the stakeholder presentation rather than being spread evenly across 12 weeks, which is what buys CI a defensible recommendation rather than a longer report.

Risk sits with EY. The price is fixed and all-inclusive, no cost can be added after award, any transaction tax that proves chargeable is absorbed within the total, and 90% of the value is released only after CI has accepted substantive work.

## 9. Assumptions

The price holds on the following assumptions, stated so that any change is visible before award rather than after.

- The assignment is desk-based with no travel, and all interviews and presentations run virtually.
- CI supplies the list of 15 priority protected areas and the associated stakeholder contacts at inception, and brokers introductions to the named secretariats in week 1.
- CI provides consolidated comments on each draft within the agreed windows, being one week on the week 5 draft and by the end of week 11 on the week 10 draft.
- One round of consolidated comments applies to each draft deliverable.
- Deliverables are produced in English.
- The stakeholder presentation is delivered twice, once to CI and once to a nominated stakeholder group, both virtually and within the contract period.
- No sub-contracted specialist is engaged beyond the two adviser roles priced above. If a consortium partner is required to satisfy the destination branding or protected-area requirement, the relevant adviser allocation transfers to that partner at the same value. **[[TO CONFIRM: whether a consortium partner is required, following the capability review in the technical proposal.]]**

## Annex A: Rate build and standard rate comparison

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[[TO CONFIRM: EY Africa standard rate card by grade and the approved discount percentage, to be appended here once approved. Owner: EY bid team.]]

## Annex B: Effort by week and by role

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[[TO CONFIRM: week-by-week distribution of the 58 days across the six roles, to be generated from the detailed work plan at Annex D of the technical proposal once the team is named.]]